

The Customer-Funded Business

Funding Your Venture Through Innovative
Customer-Centric Models.

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About the book

In **The Customer-Funded Business**, acclaimed author John Mullins challenges the traditional notion that entrepreneurial success hinges on securing venture capital. He reveals that many successful companies have thrived not through investment but by harnessing the support of their customers. Drawing on compelling stories from visionaries like Michael Dell and Bill Gates, Mullins introduces five innovative funding models that modern entrepreneurs can adopt to fuel their ventures. Through insightful interviews and practical guidance, he empowers aspiring and established entrepreneurs, intrapreneurs seeking internal funding, and investors looking to support high-potential projects. This book serves as a valuable resource for anyone seeking a sustainable path to launch, finance, and grow their business in today's competitive landscape.

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About the author

John W. Mullins is an Associate Professor of Management Practice in Entrepreneurship and Marketing at the London Business School. He holds an MBA from Stanford Graduate School of Business and a Ph.D. from the University of Minnesota. With 20 years of executive experience in high-growth retail firms, including founding two ventures and leading one to public status, he brings a wealth of real-world insight to his teaching and research. Since joining academia in 1992, John has authored four books and over 40 articles in prestigious outlets such as Harvard Business Review and MIT Sloan Management Review. His research has received accolades from prominent organizations including the Marketing Science Institute and the American Marketing Association. Renowned for his impactful works, his book **The New Business Road Test**, now in its fifth edition, serves as a critical guide for assessing market opportunities. Co-authoring **Getting to Plan B** with Randy Komisar, he gained recognition from BusinessWeek and INC Magazine. His most recent book, **The Customer-Funded Business**, has been praised as essential reading for entrepreneurs seeking funding. John's consulting and executive education activities span four continents, and he has served on boards of dynamic

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entrepreneurial companies across the globe.

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Chapter 1 Summary : Why This Book?



Why This Book?

Becoming an entrepreneur is challenging, especially when it comes to raising capital. In good years, only about 1,500 U.S. startups receive venture capital, while around 50,000 get help from angel investors, a small fraction compared to the 5 million ventures seeking funding. Even worse are numbers from recent years, highlighting the growing difficulty of securing funds. The author shares personal experiences of navigating startup challenges and emphasizes that most successful entrepreneurs did not follow the conventional path of seeking venture capital but rather funded their businesses through their customers.

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Do You Really Need Venture Capital?

Many successful companies found alternatives to venture capital, generating funds through solving customer problems or enhancing customer experiences. Despite the common narrative surrounding business plans and venture capital, most fast-growing companies did not rely on traditional funding routes. The venture capital industry has dominated the entrepreneurial landscape, leading to misguided perceptions about funding. However, customer funding can be a more effective method for startup financing.

The Solution: The Customer-Funded Business—An Idea Whose Time Has Come

The author conducted research to uncover how successful entrepreneurs have utilized customer funding. This book presents captivating stories and methods of companies that have thrived through customer financing, making a strong case for entrepreneurs to prioritize customer funding over seeking investors. Successful investors also recognize that less initial funding correlates with greater success, advocating for early customer traction as a primary funding source.



Who Should Read This Book?

This book targets various audiences:

- Aspiring entrepreneurs without startup capital seeking to build their own businesses.
- Early-stage entrepreneurs looking for funding strategies.
- Angel investors who can influence the direction of emerging ventures by focusing on customer traction.
- Business incubators and accelerators that should prioritize the growth of companies maintaining ownership and control.
- Supporters of startups, including family and friends, who should encourage entrepreneurs to secure paying customers first.
- Faculty members teaching entrepreneurship, who can integrate customer funding strategies into their curriculum.

Why John Mullins? Why Now?

The author's previous works have prepared him to address the critical question of financing a startup through customer funds instead of relying solely on investors. With extensive personal and professional experiences in entrepreneurship and academia, he presents valuable insights and strategies for



achieving startup success through customer engagement.

In 60 Seconds or Less: The Elevator Pitch

The book aims to encourage entrepreneurs to prioritize securing paying customers from the onset rather than seeking venture capital. It outlines five customer-funded models, presents key questions for their application, and addresses implementation strategies. The content serves a diverse readership, from aspiring entrepreneurs to corporate leaders and investors, offering a comprehensive guide for starting or growing a business effectively.

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Chapter 2 Summary : Craving Crowdfunding? Pandering to VCs? Groveling to Your CFO?: The Magic of Traction and the Customer-Funded Revolution



Section	Summary
Introduction	Coca-Cola's re-entry into India presented an opportunity for Rakesh and Rashmi Verma to create a digital mapping business without venture capital.
A Customer-Funded Model	The Vermas built their business by charging customers for map services, achieving independence from external funding.
Customer Funding: The Vermas Are Not Alone	Customer funding is used globally by companies like Expedia and Dell, showcasing its viability for startups and established businesses.
A Problem: Financing Your Startup	Raising equity too early can hinder growth; focusing on customer traction is advised instead.
A Solution: The Magic of Traction	This model fosters frugality and enhances customer relationships, leading to positive cash flow.
Customer-Funded Models: The Five Types	Types include Matchmaker, Pay-in-Advance, Subscription, Scarcity, and Service-to-Product models, all allowing cash retention.
What Customer-Funded Models Have in Common	They share minimal reliance on external capital, proof of concept, and customer traction.
Craving Crowdfunding?	This book focuses on customer-funded models, not traditional crowdfunding or bootstrapping.



Section	Summary
Raising Capital Too Early: The Drawbacks Explained	Early capital raising distracts from business growth and poses risks, reinforcing the viability of customer-funded models.
So, Why Now?	With challenging economic conditions and declining VC activity, entrepreneurs should prioritize customer engagement.
Is Customer Funding the Right Approach for Every Venture?	Customer-funded models suit some businesses, but not all; traditional financing may be necessary for others.
When Customer Funding Goes Wrong	Customer funding can lead to pitfalls such as financial mismanagement, as seen with Groupon.
The Vermas: The Rest of the Story	The Vermas transitioned to product-based services, illustrating business evolution within customer funding.
What Angel Investors Will Want to Know	Angel investors look for product viability, customer traction, and capital efficiency before investing.
The Road Ahead	The book will provide case studies on customer-funded models to guide aspiring entrepreneurs and investors.

Craving Crowdfunding? Pandering to VCs? Groveling to Your CFO?: The Magic of Traction and the Customer-Funded Revolution

In 1995, Coca-Cola re-entered India by acquiring Thums Up but faced a lack of mapping resources to understand the bottlers' territories. Rakesh and Rashmi Verma of CE Info Systems, leveraging American digital mapping software, seized this opportunity to create a digital mapping business, offering maps to various clients without needing venture capital.

A Customer-Funded Model

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The Vermas successfully built their business by charging customers for map services instead of looking for venture capital. They identified various customers, such as CellularOne and even the Indian Navy, funding their growth through customer payments and becoming India's leading digital mapmaker over ten years while remaining independent of external funding.

Customer Funding: The Vermas Are Not Alone

Customer funding is not exclusive to India; it's a common practice worldwide. Companies like Expedia leverage customer prepayments to fund operations. The customer-funded model has been successfully utilized by various companies like Dell and Banana Republic. The book highlights several case studies, underscoring the viability of the customer-funded approach for both startups and established businesses.

A Problem: Financing Your Startup

Raising equity too early can be problematic for entrepreneurs. Investors often demand significant stakes and



tough terms that can hinder growth. Instead of seeking funds prematurely, focusing on generating customer traction is advisable. Peter Drucker's insights emphasize that successful ventures often pivot from their original plans based on customer feedback.

A Solution: The Magic of Traction

With advancing technology making it easier to start customer-funded businesses, this model encourages entrepreneurs to focus on customers first. It induces frugality, fosters good relationships with customers, and reduces investment risks. Ultimately, it leads to a positive cash flow which is liberating for entrepreneurs.

Customer-Funded Models: The Five Types

Understanding the different customer-funded models is crucial:

1.

Matchmaker Models:

Connecting buyers and sellers, benefiting from commissions.

2.



Pay-in-Advance Models:

Collecting upfront payments before service delivery.

3.

Subscription Models:

Customers pay for ongoing services or products.

4.

Scarcity Models:

Limiting product availability to generate customer interest.

5.

Service-to-Product Models:

Transitioning from providing services to offering standalone products.

All these models allow businesses to retain cash and manage their operations effectively.

What Customer-Funded Models Have in Common

Successful companies employing customer-funded models typically share three characteristics: minimal reliance on external capital at the start, gradual proof of concept leading to eventual institutional funding, and the establishment of customer traction that enhances their credibility.

Craving Crowdfunding? What This Book Is—and

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What It's Not

This book does not focus on bootstrapping or traditional crowdfunding. Rather, it delves into the nuances of customer-funded models, which encompass various activities beyond just raising funds, delivering substantial value by fostering customer engagement and business growth.

Raising Capital Too Early: The Drawbacks Explained

Early capital raising often distracts entrepreneurs from business growth and leads to burdensome investor demands. The pitfalls include inadequate proof of concept, greater risks for investors, and unwieldy operational baggage. Current venture capital trends indicate that success rates are low, reinforcing the idea that customer-funded models are more viable.

So, Why Now? Is a Customer-Funded Revolution at Hand?

Current economic conditions make raising capital challenging, leading to a decline in the number of active VC

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firms. Entrepreneurs are encouraged to focus on customer engagement first, as established businesses with proven customer traction become more appealing to investors.

Is Customer Funding the Right Approach for Every Venture?

Customer-funded models are not universally applicable. Some businesses might require traditional financing methods. However, if a model fits the business context, it could provide a path to success.

When Customer Funding Goes Wrong

While customer funding can present advantages, it is not a guaranteed route to profitability. Companies like Groupon illustrate potential pitfalls, such as financial mismanagement and operational challenges, despite having strong cash flow from customers.

The Vermas: The Rest of the Story

The Vermas eventually transitioned from mapping services to a product-based approach with MapmyIndia, illustrating the



evolution possible within a customer-funded model while embracing external funding once the business concept was validated.

What Angel Investors Will Want to Know—and Will Ask

Angel investors are keen on understanding product viability, customer traction, and capital efficiency before committing funds. The success of customer-funded models can significantly improve the chances of securing investment.

The Road Ahead

The book will explore specific customer-funded models through various case studies, offering insights and guidance on their practical application for aspiring entrepreneurs and investors. It aims to inspire readers to leverage customer funding effectively in their ventures.



Example

Key Point: Customer traction is vital for success.

Example: Imagine you're starting a tech startup focused on educational apps. Instead of immediately seeking venture capital, you offer a freemium model to schools, allowing them to use the basic features for free while charging for premium content. As schools begin using your app and providing feedback, you gain invaluable insights into what educators and students truly need. This approach not only helps you refine your product based on real customer experiences but generates initial revenue that you can reinvest into development. By the time you consider seeking additional funding, you have a solid customer base and a proven concept, making you far more attractive to potential investors.



Critical Thinking

Key Point: The Importance of Customer Engagement Over Early Capital Investment

Critical Interpretation: Mullins emphasizes the necessity of prioritizing customer traction over seeking venture capital, suggesting that startups may thrive better when they focus on developing their product based on real customer feedback. However, it is essential to consider that this approach can be context-dependent; some industries may indeed require significant initial funding for R&D or infrastructure. This notion challenges the universal applicability of customer-funded models as the only path to success, raising questions about whether Mullins' perspective may overlook the complexities faced by various startups. Several studies, including insights from the Harvard Business Review on startup funding strategies, highlight that successful business models may not always align with a customer-funded approach, thereby illustrating that while customer engagement is crucial, it is not the sole determinant of entrepreneurial success.



Chapter 3 Summary : Customer-Funded Models: Mirage or Mind-Set? Old or New?

Customer-Funded Models: Mirage or Mind-Set? Old or New?

Historical Context

In 1492, Queen Isabella of Spain faced funding challenges due to lost revenues from a war. Christopher Columbus sought to secure funding for his expedition to India, demonstrating early examples of entrepreneurs seeking investor support for ambitious ventures.

Financing Entrepreneurial Ventures: A Time-Tested Practice

The quest for funding has been a constant in entrepreneurship since Columbus's time. The venture capital industry arose to facilitate this process, providing a streamlined method for



entrepreneurs to access capital in exchange for equity, often distracting from more common practices of customer-funded models.

Case Histories: Customer-Funded Models at Work

The chapter discusses two prominent businesses with customer-funded origins: Dell and Banana Republic.

1.

Dell's Customer-Funded Origins

- Michael Dell leveraged custom-built PCs and direct sales to businesses.
- His model eliminated inventory risks and relied on customers paying upfront, which fueled rapid growth without requiring external investment.

2.

Banana Republic's Innovative Approach

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Chapter 4 Summary : Buyers and Sellers, but Not Your Goods: Matchmaker Models

Section	Content
Chapter Title	Buyers and Sellers, but Not Your Goods: Matchmaker Models
Overview	Matchmaker models connect buyers and sellers, allowing selling without upfront investment, earning commissions instead of owning goods.
Innovative Examples	Airbnb: Funded rent through airbeds; media attention led to growth. DogVacay: Created a platform connecting dog owners with pet sitters. ProFounder: Attempted to connect small businesses with funding but failed due to regulatory challenges.
Key Learnings	Minimal initial investment required. Importance of visibility and marketing. Customer traction and capital efficiency are essential for attracting investors.
Investment Considerations	Potential for "winner-takes-all" player. Addressing genuine problems for both buyers and sellers. Building trust in the marketplace. Establishing repeat revenue and sustainable business model.
Checklist for Angel Investors	Likelihood of being a "winner-takes-all." Solving a compelling problem. Planned disruption of existing market structure. Establishing and maintaining trust. Strategies for repeat customer engagement. Focusing on fragmented markets for growth. Targeting a narrowly defined niche.



Buyers and Sellers, but Not Your Goods: Matchmaker Models

Every business traditionally involves selling products, but what if you could sell without any upfront investment? Matchmaker models do just that by connecting buyers and sellers, like real estate agents. These businesses earn commissions without owning the goods themselves. Examples include online platforms like eBay and Expedia, which have thrived on minimal startup costs.

Innovative Examples of Matchmaking

1.

Airbnb

: Founded by Joe Gebbia and Brian Chesky, Airbnb began as a way to fund their rent by renting out airbeds during a design conference in San Francisco. Despite early setbacks and financial struggles, they capitalized on media attention from quirky promotions, which ultimately led to substantial investments and massive growth.

2.

DogVacay



: Aaron and Karine Hirschhorn created DogVacay, a platform for dog-sitting, after recognizing the need for better pet care alternatives. Their initial success with personal dog-sitting led to a broader business model that connected dog owners with pet lovers willing to provide care.

3.

ProFounder

: This startup aimed to connect small businesses seeking funding with their friends and family. However, it struggled due to regulatory challenges and lacked a compelling problem to solve, ultimately leading to its failure.

Key Learnings for Entrepreneurs

-

Matchmaker models require minimal initial investment

but can grow through customer funding and services without inventory.

-

Visibility and marketing are critical

for attracting both users and sellers in matchmaker businesses.

-



Successful case studies demonstrate the importance of customer traction

and capital efficiency, which attract investors interested in growth potential.

Investment Considerations for Matchmaker Models

Aspiring entrepreneurs need to consider various factors when seeking investment:

- Proving the potential for being a "winner-takes-all" player in their field.
- Addressing genuine problems for both buyers and sellers to attract and retain users.
- Building trust within the marketplace is crucial, especially when exchanges involve personal properties or services.
- Laying the groundwork for repeat revenue and ensuring a sustainable business model.

Checklist for Angel Investors

1. Why is your business likely to be the winner that “takes all”?
2. Are you solving a compelling problem for at least one side of the buyer-seller transaction?



3. Is there an existing market structure that you plan to disrupt?

4. How will you establish and maintain trust in your marketplace?

5. What strategies will you implement to ensure repeat customer engagement?

6. Are you focusing on a fragmented market that supports growth?

7. Are you targeting a narrowly defined niche to start?

Moving forward, potential entrepreneurs and investors should carefully evaluate these factors as they develop and fund matchmaker models.



Chapter 5 Summary : Ask for the Cash: Pay-in-Advance Models

5. Pay-in-Advance Models: Asking for the Cash

This chapter explores the concept of pay-in-advance business models, illustrated by examples like Costco, Threadless, Via.com, and Loot Stores. Central to these models is the notion of asking customers to pay upfront, either through membership fees or deposits, which can significantly fund business operations and expansion.

1. Costco's Success

Costco exemplifies a successful pay-in-advance model. Customers pay a membership fee for various benefits such as lower prices and a diverse product selection. The membership fees often cover a large portion of operating profits, enabling Costco to maintain lower gross profit margins than competitors. This model has fueled Costco's rapid growth and substantial revenues.



2. Threadless: Crowdsourcing Innovation

Threadless originated as a hobby but transformed into a successful crowdsourced T-shirt business. By allowing the community to submit and vote on designs, the founders leveraged customer funding to print and sell T-shirts, reinvesting profits back into the business. Threadless exemplifies how a community-focused approach can lead to rapid growth and market recognition.

3. Via.com: Revitalizing Travel in India

Via.com disrupted India's fragmented travel industry by offering a B2B model for travel agents using a pay-in-advance deposit system. By providing agents with IATA-certified capabilities through customer deposits, Via grew rapidly and established itself as a significant player in the industry.

4. Loot Stores: The Risks of Transitioning Business Models

Jay Gupta's Loot Stores started with a successful consignment model but faced challenges as he moved to a



new business model requiring upfront inventory purchases. This shift strained cash flow, leading to reliance on bank loans. The introduction of new taxes in India caused further turmoil, ultimately resulting in the closure of many stores. Gupta's experience demonstrates the importance of understanding cash flow dynamics and the risks associated with shifting away from customer-funded models.

5. Critical Lessons for Entrepreneurs

Entrepreneurs looking to utilize pay-in-advance models should consider several key questions:

- Why do you need capital now?
- How is your proposition different from others?
- Can you take some money off the table?
- Do you understand the difference between profit and cash flow?

The entrepreneurs described in this chapter consistently asked for what they needed to fund their ventures effectively. Their experiences reveal that, while customer-funded models can provide solid foundations, careful navigation of financial risks is crucial for sustained success.



Example

Key Point: Understanding the significance of customer upfront payments in business growth.

Example: Imagine you're launching a new online craft store. Instead of waiting for sales to trickle in, you decide to implement a pre-order campaign where customers pay upfront for their orders. This not only secures immediate cash flow to cover the costs of materials and production but also gauges interest in your products. By embracing the pay-in-advance model, akin to how Costco thrives on membership fees, your craft store can enjoy early financial stability and fund its expansion efforts without relying heavily on debt.



Chapter 6 Summary : Recurring Revenue: Subscription and SaaS Models

Recurring Revenue: Subscription and SaaS Models

Many services we utilize daily are offered through subscription models, such as Netflix or utility services. Subscriptions provide convenience, cost-effectiveness, and consistent demand. Customers prefer subscriptions because they offer regular access to goods and services without the need for planning or additional trips to stores.

Subscription Models for Software: SaaS

The software industry has widely adopted SaaS (Software as a Service) subscription models, eliminating the need for physical software purchases. Companies like Salesforce pioneered this transition, leading to significant growth and recurring revenue. SaaS allows for easy updates, reduced upfront costs, and online support, making it a favorable model for both customers and companies. However, transitioning from traditional software sales to a SaaS model



can initially hurt revenue, as observed in companies like Adobe.

Case Studies: TutorVista and H.Bloom

Two notable examples of successful subscription-based businesses are TutorVista and H.Bloom, both of which began with customer funding.

Educating the World from India: TutorVista

Founded by Krishnan Ganesh in 2005, TutorVista capitalized on the need for accessible, affordable tutoring by offering a subscription model for online education. This model allowed TutorVista to gain customer traction and funding efficiently, leading to significant growth in both the US and India.

Petals for the People and H.Bloom

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Chapter 7 Summary : Sell Less, Earn More: Scarcity and Flash Sales Models

Sell Less, Earn More: Scarcity and Flash Sales Models

Scarcity models are a unique business approach where sellers restrict available quantities and time periods for their products, creating urgency for consumers. This technique has been successfully utilized by fashion brands like Zara and luxury designers, generating significant customer cash. In contrast to traditional models that aim to sell as much as possible, scarcity models compel consumers to purchase quickly or risk missing out.

Vente-Privée and Flash Sales Model

Vente-privee, founded by Jacques-Antoine Granjon, pioneered the flash sales model by selling excess inventory from brands through limited-time sales events exclusively to members. Each sale event lasts only a few days, with prices significantly reduced, allowing the company to generate



customer cash upfront before paying vendors. This strategy protects brand images while providing discounts to select customers.

The Flash Sales Landscape

The flash sales market attracted many startup competitors, which ultimately diluted the uniqueness of the model. Success stories like Zulily, which targets parents with discounted children's products, demonstrate the potential in niche markets, while others like Totsy struggled with high competition and customer conversion rates.

Challenges and Success Metrics

Despite promising starts for many flash sales companies, significant challenges have arisen, including management turmoil and unsustainable growth strategies. The model's vulnerability stems from being easy to replicate, leading to market saturation and diminishing returns. Investors must carefully consider the depth of vendor relationships and the unique value proposition of any flash sales initiative.

Lessons from the Industry



1.

Customer Payments Precede Vendor Payments

: Successful scarcity models rely on customer cash flow to fund operations before paying vendors.

2.

Avoid Early Capital Dependence

: Many companies falter by pursuing venture capital too aggressively, leading to management issues and diluted founder stakes.

3.

Product Control is Key

: Companies like Zara thrive by controlling product scarcity—attuning supply to forecasted demand—while many flash sales businesses fail due to overproduction and high competition.

Business Angel Checklist for Scarcity and Flash Sales Models

- Assess the depth of vendor relationships.
- Evaluate the ease of business model imitation.
- Determine metrics regarding actual paying customers rather



than mere memberships.

- Consider whether the plan favors rapid growth or sustainable customer-funded growth.
- Analyze reliance on a particular economic cycle.

With insights from the flash sales sector, aspiring entrepreneurs can conceptualize business models that leverage scarcity effectively, while avoiding common pitfalls encountered by fledgling companies.



Chapter 8 Summary : Build It for One, Then Sell It to All: Service-to-Product Models

Service-to-Product Models

Many service-based businesses, such as architecture firms and airlines, typically require upfront payments to safeguard against customer dissatisfaction, as services delivered cannot be returned. This model allows entrepreneurs to start businesses with minimal initial investments, using customer funds as capital. The chapter introduces the concept of service-to-product models, where businesses begin by offering tailored services and eventually leverage their expertise to create standalone products. This transition allows for greater scalability and customer independence.

Case Study: Microsoft

The chapter illustrates the service-to-product model using Microsoft's origins, where Bill Gates and Paul Allen offered customized programming services, which laid the



groundwork for developing widely adopted software products. Early contracts with companies like IBM enabled Microsoft to position itself as a platform provider, eventually leading to the creation of iconic products like Windows and Microsoft Office.

Case Study: GoViral

GoViral, founded by Claus Moseholm and Balder Olrik, exemplifies a successful service-to-product transition. Initially focused on creating viral video campaigns, the company transformed its expertise into a scalable product offering by guaranteeing views for video content. The launch of YouTube in 2005 created a pivotal shift, enabling GoViral to grow its revenues. After establishing a robust technology platform, GoViral was able to significantly scale operations and was later acquired by AOL for \$96.7 million.

Case Study: Rock Solid Technologies

Rock Solid Technologies, led by Ángel Pérez, initially provided IT services to municipalities in Puerto Rico. Recognizing the potential of cloud computing, Pérez transitioned his company from offering services to delivering



cloud-based software solutions, avoiding the significant capital expenditures typically required for municipal upgrades. This shift allowed Rock Solid to expand its customer base and increase profitability significantly.

Scaling Without Product Transition

The chapter discusses QuEST Global Services, which achieved rapid growth without pivoting to a product model. By focusing on building strong customer relationships and diversifying its client base, QuEST successfully scaled its operations, demonstrating that a service business can grow without necessarily transforming into a product company.

Investor Considerations for Service-to-Product Transitions

Entrepreneurs seeking to transition from services to products should prepare to answer critical questions for potential investors, such as the insights gained about customer needs, potential new market segments, the talent available for transformation, aspirations for growth, and whether to pursue a productized model or maintain the service-based structure.



Conclusion

The chapter emphasizes that while transitioning from a service business to a product platform presents unique challenges, it is a viable path for growth and scalability. Entrepreneurs are encouraged to leverage customer feedback and capitalize on market opportunities to navigate this transition successfully.



Chapter 9 Summary : Make It Happen: Put a Customer-Funded Model to Work in Your Business

Summary of Chapter 9: Make It Happen: Put a Customer-Funded Model to Work in Your Business

Introduction to Customer-Funded Models

To successfully launch or grow a business, focus on generating customer revenue rather than seeking venture capital. Early cash flow minimizes financial risks and opens opportunities for product/market fit.

Mindset and Implementation

Adopt a cash-focused mindset among you and your team. Engage with suppliers for favorable terms to manage cash flow effectively. Explore the five customer-funded models discussed in previous chapters to determine which fits your business context.



Advice for Entrepreneurs, Investors, and Established Businesses

1.

Entrepreneurs:

You have the power to implement customer-funded models without external permission. Focus on aligning your business model with market needs.

2.

Angel Investors:

Help entrepreneurs shift their focus from seeking investment to attracting customers. Your role is crucial in guiding them toward customer funding models.

3.

Established Companies:

Innovating within an existing organization can be challenging due to bureaucracy. If you see an opportunity.

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Best Quotes from The Customer-Funded Business by John W. Mullins with Page Numbers

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Chapter 1 | Quotes From Pages 26-40

- 1.The fact is that the amount of money startups raise in their seed and Series A rounds is inversely correlated with success.
- 2.they didn't mortgage or pledge their houses, either.
- 3.Once they have enough customers, the investors—if needed at all—will surely follow.
- 4.this book offers the most sure-footed path to starting, financing, or growing your business.

Chapter 2 | Quotes From Pages 41-142

- 1.We can give you the maps you need.
- 2.The Vermas weren't doing anything radically new in shunning venture capital.
- 3.If there's no paying customer—at least eventually—there's no business, either.

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- 4.The best source of freedom—even better than cash in the bank—is positive cash flow!
- 5.The successful application of any of the five customer-funded models always results in customer traction.
- 6.Many of our exemplar companies eventually raised significant institutional capital.
- 7.We think that you shouldn't start with the assumption that you need to raise money.
- 8.You may have capital and a talented management team, but if you are fundamentally in a lousy business, you won't get the kind of results you would in a good business.
- 9.Are angels' returns equally skewed?
- 10.So, are you ready to be inspired? To take your entrepreneurial game to a new level?

Chapter 3 | Quotes From Pages 143-233

- 1.Columbus, like many entrepreneurs today, had an entrepreneurial dream
- 2.Surprisingly, however, there's been little attention given to



the perhaps more prosaic but far more common practice of finding ways to get customers to fund your venture.

3. You can drift off and do something else. Like start a business.

4. Few think about or understand the importance of the customer-funded, pay-in-advance nature of the Dell model

5. Your customer is your best asset. So over deliver.

6. The more mistakes I made, the faster I learned.

7. Why ask for a difficult sale when the low-hanging fruit is easier to reach?

8. If you've followed a customer-funded model in a consumer setting and developed traction, you've probably done so, at least in part, by finding a way to get noticed in the media.





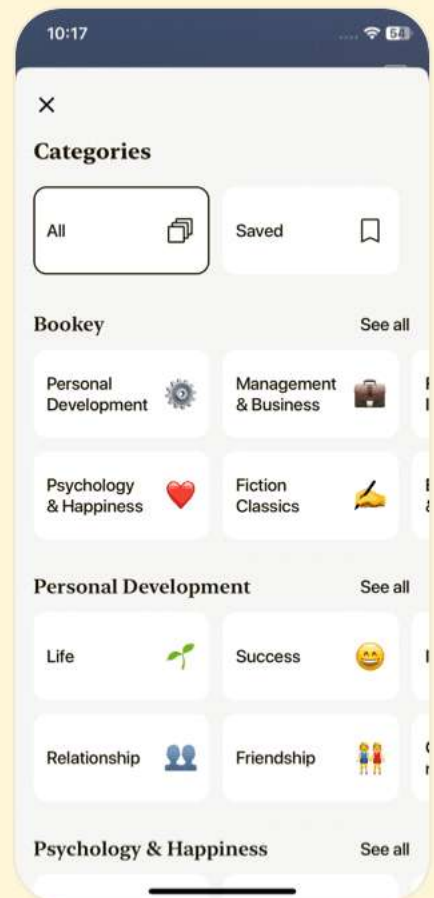
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Chapter 4 | Quotes From Pages 234-300

1. if you can write code yourself, it may cost nothing at all!
2. the business was in dire need of not just PR, but funding, too
3. Being quirky can work out nicely with investors, too!
4. Not all marketplace businesses are customer fundable.
5. The best matchmaker opportunities solve genuine problems on both sides of the transaction. Does yours?

Chapter 5 | Quotes From Pages 301-357

1. Why on earth would anyone pay to shop in a store?
2. Costco's pay-in-advance model funds rapid growth... surpassing the \$100 billion mark in revenue.
3. Threadless was never intended to be a business.
4. The best thing we did is to trust our community.
5. When you've got plenty of cash coming in, not everything needs to be customer-funded!
6. Too many entrepreneurs don't fully appreciate the



difference between a profitable business and one that generates cash as it grows.

Chapter 6 | Quotes From Pages 358-422

1. Subscriptions are something we rarely pay much attention to, but benefit from every day
2. The tricky part, for software companies considering shifting from the old model to SaaS, is that making the change generally entails a revenue hit.
3. Ganesh soon discovered that a subscription model enhanced customer adoption and retention, not to mention cash flow.
4. If your customer-funded business offers something that's both better and cheaper, it's a lot more compelling—to customers and investors—than just better or cheaper.
5. Disrupting a market is easy to talk about, but difficult to deliver.





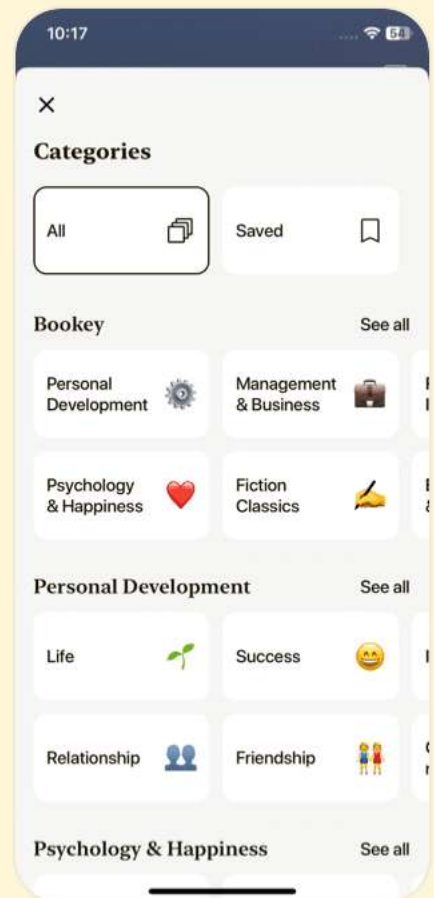
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Chapter 7 | Quotes From Pages 423-495

1. You'd better buy now, or you'll miss your chance!
2. We are selling discount products, a product that people don't want... But we're selling it in a high fashion way. Which means we are a luxury site selling discount products. That is the paradox. It's the key of our success.
3. The way we are dealing with overstock is a revolution for branded products. It is extremely efficient, protects the image of the brand, and brings in new customers on- and off-line.
4. If you're an angel or other investor pondering a flash sales deal, maybe you shouldn't!
5. The stories in this chapter are testament to the downsides of raising investment capital too early.
6. Flash sales happen because a brand has a problem, so you do an operation to solve that problem.

Chapter 8 | Quotes From Pages 496-552

1. For anyone starting a services business, this is great news.



2. Actually, though, Gates and Allen didn't really build PC-DOS. They bought much of it.
3. The content was really strong, so the videos got a lot of traction and delivered millions of views more than what we had guaranteed.
4. Over time, the SaaS model gets better and better. We get smarter and more efficient, and the customers learn, too, so they need less of our time.
5. Conventional wisdom says that people-intensive services businesses simply can't scale. But Ajit Prabhu doesn't buy it.
6. If you're giving a keynote at Cannes, you must be worth talking to.

Chapter 9 | Quotes From Pages 553-622

1. Some businesses take time to find their magic...
And I only know one reason companies go out of business—they run out of money.
2. Getting your customers' cash flowing sooner rather than later is the best way to lower your company's burn rate.



3. Big companies almost never innovate. This is unfortunate because innovation is one of the few ways to gain proprietary advantage and stay profitable.
4. It's a lot more fun solving customer problems than pandering to investors.
5. The best money comes from customers, not investors.





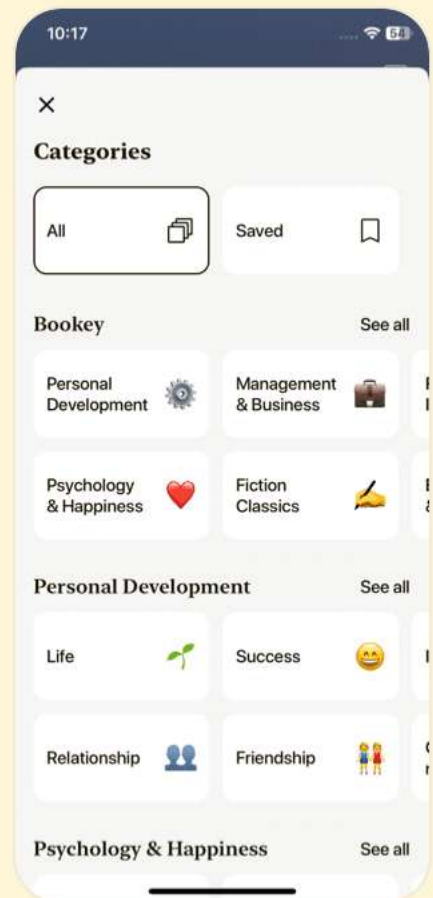
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The Customer-Funded Business Questions

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Chapter 1 | Why This Book?| Q&A

1.Question

Why is raising capital for entrepreneurial ventures so challenging?

Answer:Raising capital is difficult due to the sheer number of startups seeking funding versus the limited availability of venture capital. For example, in the United States, around 5 million ventures seek startup funding each year, but only around 1,500 receive venture capital support, making the competition exceptionally tough.

2.Question

What alternative funding approach does Mullins advocate for startups?

Answer:Mullins advocates for the 'customer-funded' business model, where entrepreneurs find ways to finance their

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operations primarily through their customers' cash rather than relying solely on venture capital.

3.Question

What is the prevailing misconception about the entrepreneurial process?

Answer:Many believe that the entrepreneurial process revolves around having a solid business plan followed by raising venture capital. However, most successful companies didn't follow this script and instead focused on solving customer problems to generate early revenue.

4.Question

How does Mullins describe the relationship between venture capital and business success?

Answer:Mullins highlights that raising too much venture capital too early can hinder success. He references investors like Fred Wilson and Mark Suster, who emphasize that less money raised leads to greater chances of success, contradicting the traditional belief that more funding is inherently better.



5.Question

Who are the key audiences for this book and why?

Answer:The key audiences include aspiring entrepreneurs looking for capital, early-stage entrepreneurs seeking growth, angel investors who can guide startups, business incubators, and academic faculty teaching entrepreneurship. Each has a stake in promoting the idea of customer funding as a viable alternative to traditional capital-seeking methods.

6.Question

What crucial lesson does Mullins emphasize regarding customer relationships?

Answer:Mullins stresses that finding paying customers who value your offering is more important than focusing on attracting investors. Once you build customer traction, investors will follow if needed.

7.Question

What impact does Mullins hope this book will have on entrepreneurship education?

Answer:Mullins hopes that educators will incorporate the concept of customer funding into their curricula, encouraging



students to prioritize customer engagement over investor relationships, thus redefining what it means to start and grow a business.

8.Question

What key takeaway does Mullins want readers to remember from the book?

Answer: The primary takeaway is that successful entrepreneurship often hinges on the ability to generate customer revenue early in the venture's lifecycle, rather than solely relying on external investment.

9.Question

What example does Mullins provide to illustrate the challenges of traditional market entry?

Answer: Mullins references Coca-Cola's reentry into India and the challenges it faced due to a lack of mapping resources. This anecdote highlights the need for innovative solutions in unfamiliar markets, akin to how entrepreneurs must adapt to market demands.

10.Question

Why does Mullins believe it is essential for entrepreneurs



to focus on customer funding?

Answer:Focusing on customer funding allows entrepreneurs to maintain control over their businesses and incentivizes them to develop offerings that truly resonate with their target market, ultimately leading to sustainable growth and success.

Chapter 2 | Craving Crowdfunding? Pandering to VCs? Groveling to Your CFO?: The Magic of Traction and the Customer-Funded Revolution| Q&A

1.Question

What is the main lesson from the Vermas' experience with their mapping business?

Answer:The main lesson is that entrepreneurs can successfully fund their growth through customer cash rather than relying on venture capital. The Vermas identified customer needs and utilized customer payments to finance their business development, demonstrating that a focus on customer traction can lead to sustainable business growth.



2.Question

How can customer funding offer freedom to entrepreneurs?

Answer:Customer funding offers freedom through positive cash flow, which allows entrepreneurs to make decisions aligned with their business goals without being beholden to investors. This financial independence enables them to focus on customer satisfaction and innovation.

3.Question

Why is it important to wait to raise capital until after proving customer traction?

Answer:Waiting to raise capital until after customer traction has been proven lowers investor risk and can lead to better terms and higher valuation for the entrepreneur. When a venture shows real customer demand, it is in a stronger position to negotiate with investors.

4.Question

What are some drawbacks of raising capital too early?

Answer:Raising capital too early can distract from building the actual business, lead to a lower ownership stake for the



founder, impose onerous terms and conditions from investors, and increase the pressure for quick results without allowing the business to mature naturally.

5.Question

How does the author differentiate customer funding from crowdfunding?

Answer:Customer funding focuses on generating revenue directly from customers before any required product delivery, whereas crowdfunding involves raising funds from backers for a project or idea that may not yet have proven market demand. Customer funding is based on actual sales and traction.

6.Question

What should entrepreneurs do if they are not achieving customer traction?

Answer:If entrepreneurs are not achieving customer traction, it may be time to pivot their business model or idea. They need to reassess their understanding of customer needs and refine their offering to something that the market will buy.



7.Question

What can we learn from the story of Ryzex and its survival strategies during the financial crisis?

Answer:Ryzex illustrates the significance of proactive cash flow management and adapting sales strategies to maintain customer relationships during downturns. By focusing on customer funding strategies, such as advance payment for services and improved payment terms, Ryzex was able to navigate through challenging economic conditions.

8.Question

What key traits do successful customer-funded businesses typically share?

Answer:Successful customer-funded businesses usually require little or no external capital to start, demonstrate early signs of customer traction, and are often lean startups. They focus on validating their business concepts with actual customer purchases.

9.Question

Why might customer funding be a better strategy compared to seeking venture capital for new ventures?



Answer:Customer funding may offer a more sustainable path for new ventures by reducing reliance on external financing and allowing businesses to develop based on actual market demand. This can also position entrepreneurs to retain greater control over their companies.

10.Question

How can understanding customer-funded models benefit business angels considering investments?

Answer:Understanding customer-funded models can help business angels assess the viability and long-term potential of startups. By investing in companies with proven customer traction, they can reduce risks and improve the chances of achieving better returns.

Chapter 3 | Customer-Funded Models: Mirage or Mind-Set? Old or New?| Q&A

1.Question

What can we learn from Columbus's success in securing funding from Queen Isabella?

Answer:Columbus's journey shows the importance of perseverance and the ability to articulate a



compelling vision to potential investors. His success in securing funding demonstrates that with enough tenacity and a well-structured proposal, even audacious ideas can find support. This is a crucial lesson for today's entrepreneurs seeking investors.

2.Question

Why is the idea of customer-funded models highlighted in business discussions?

Answer:Customer-funded models are significant because they allow businesses to grow and sustain themselves with the support of their customers, rather than relying solely on external investors. This approach not only promotes financial independence but also encourages businesses to align closely with their customers' needs and preferences.

3.Question

How did Michael Dell manage to grow his business without needing external financing initially?

Answer:Dell grew his business primarily through an innovative direct-to-consumer model that involved asking



customers to pay in advance for customized PCs. This eliminated the need for upfront capital investment, reduced risks associated with unsold inventory, and allowed him to leverage customer cash flow to fuel expansion.

4.Question

What lesson can entrepreneurs take from the Banana Republic founders in their market approach?

Answer:The Zieglers' approach teaches us about the importance of creativity and understanding market demands. By positioning themselves uniquely and appealing to a specific customer base, they successfully attracted attention and sales, illustrating that a well-timed and tailored marketing strategy can significantly impact business success.

5.Question

In what ways does the entrepreneurial process highlighted in the chapter deviate from traditional approaches?

Answer:Both Dell and the Zieglers disregarded conventional business plans and instead opted for a learn-by-doing method. They focused on immediate customer needs and



utilized initial cash flow from sales to fund growth. This grassroots approach contrasts with the often linear and investor-driven paths that traditional business education advocates.

6.Question

What mindset do successful entrepreneurs need to maintain according to the author?

Answer:Successful entrepreneurs must adopt a mindset focused on customer satisfaction and positive cash flow. They should view customer funding not as a temporary measure but as a fundamental strategy for growth, understanding that cultivating strong relationships with customers is key to sustaining their business.

7.Question

How can understanding the difference between cash flow and profit impact business decisions?

Answer:Recognizing that cash flow is critical for operations and growth helps entrepreneurs prioritize immediate revenue-generating activities. This understanding can lead to



strategic decisions that ensure liquidity, enabling businesses to meet operational costs while pursuing long-term profitability.

8.Question

What does the retail strategy of Banana Republic teach about product positioning?

Answer:Banana Republic's strategy reveals the value of creating a distinct product line that resonates with consumers. Their innovative marketing and unique offerings helped them stand out in a crowded market, showing that strong branding and a clear target demographic are crucial for retail success.

9.Question

What are the benefits and challenges of convincing customers to pay upfront?

Answer:Convincing customers to pay upfront can significantly enhance cash flow, allowing businesses to operate without incurring debt. However, it also requires a solid value proposition and trust-building strategies to ensure customers are willing to commit before receiving a product



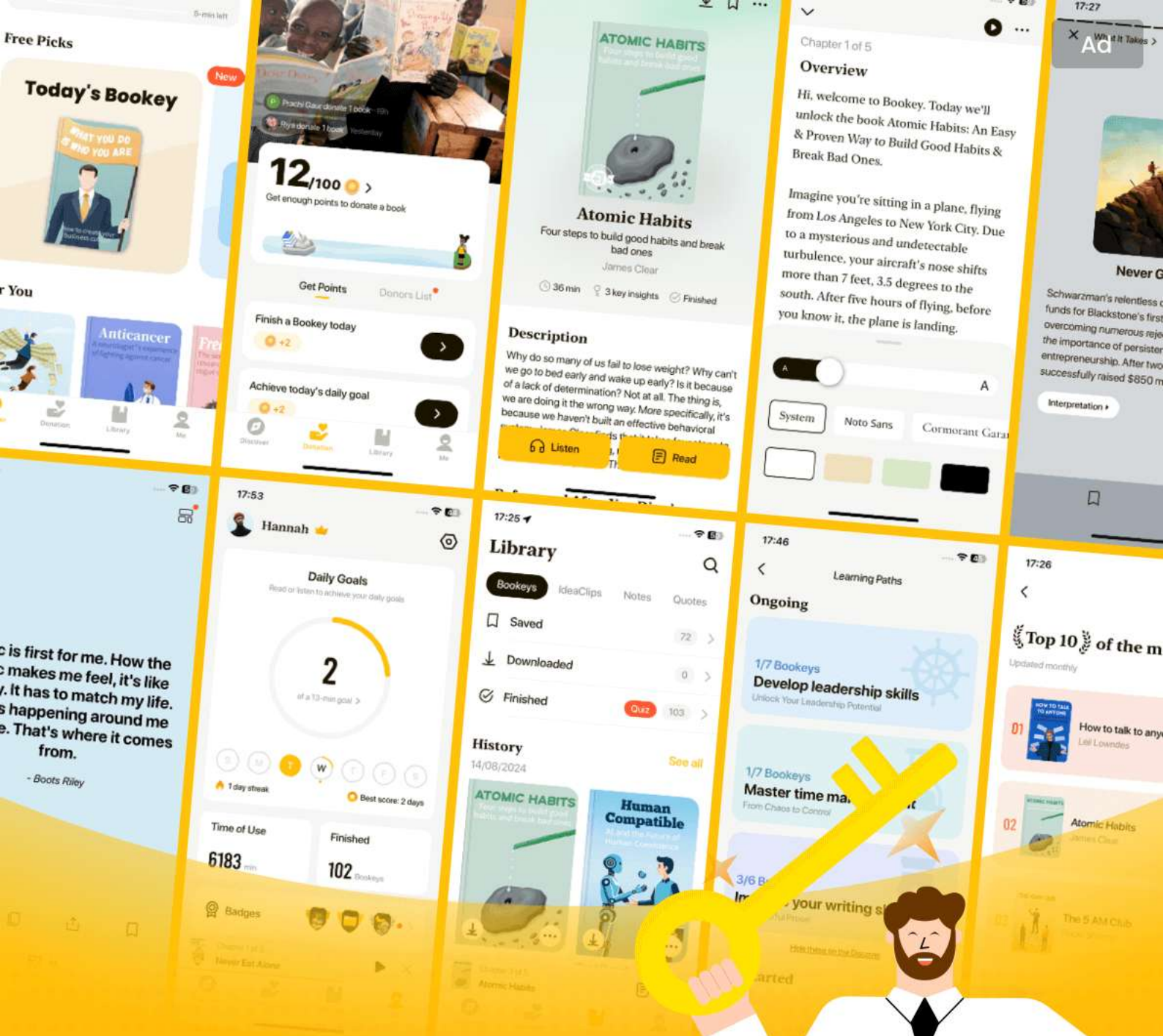
or service.

10.Question

What key takeaway can modern entrepreneurs learn from the financing strategies of earlier businesses like Dell and Banana Republic?

Answer: Modern entrepreneurs can learn that customer relationships are a vital source of financing and that engaging customers early in the process can lead to sustainable growth. Leveraging customer funds rather than relying solely on external investors can create a more resilient business model.





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Chapter 4 | Buyers and Sellers, but Not Your Goods: Matchmaker Models| Q&A

1.Question

What is a matchmaker model in business?

Answer:A matchmaker model is a business approach that connects buyers and sellers without owning the products or services being exchanged. Instead of purchasing inventory, matchmakers facilitate transactions and earn commissions or fees from either party, like how real estate agents operate. This model allows entrepreneurs to establish businesses with minimal upfront investments, leveraging networks and technology to generate revenue.

2.Question

What inspired Airbnb's founders to start their business?

Answer:Joe Gebbia and Brian Chesky were initially looking for a way to pay their rent in San Francisco. With a design conference attracting many visitors and hotel rooms fully booked, they had the idea to rent out airbeds in their



apartment, which evolved into Airbnb when they realized they could help others find accommodations during such events.

3.Question

How did Airbnb gain traction during tough initial times?

Answer:Airbnb's founders employed creative strategies to gain visibility and funding. They launched quirky products, like keepsake cereal boxes during the Democratic National Convention, which garnered media attention and raised funds to keep the business afloat. This innovation showcased their willingness to creatively address challenges.

4.Question

What key lesson can be learned from the way Airbnb and DogVacay approached their businesses?

Answer:Both Airbnb and DogVacay demonstrated the importance of addressing genuine consumer problems and using existing personal networks for business traction. By focusing on specific, immediate needs—like affordable lodging or alternative dog care options—they effectively



attracted customers and built trust within their communities.

5.Question

What factors contribute to the success of matchmaker business models?

Answer:Success in matchmaker models often hinges on achieving liquidity, building trust, capitalizing on network effects, and targeting underserved markets. These businesses thrive by connecting many buyers and sellers and ensuring that transactions feel safe and reliable.

6.Question

Why did ProFounder fail despite a promising idea?

Answer:ProFounder struggled because it could not facilitate a sufficient number of transactions, leading to low revenue. Their model relied on complex regulations and legal compliance, which required significant investment and hindered their ability to fund operations solely through customer engagement.

7.Question

What should entrepreneurs consider when approaching potential investors for matchmaker models?



Answer: Entrepreneurs should demonstrate customer traction, a clear problem being solved, and a strategy for achieving scale. They must present how they differentiate from competitors and their potential for growth in a fragmented market to gain investor confidence.

8.Question

What is the importance of trust in matchmaker business models?

Answer: Trust is crucial as these businesses often involve personal transactions, like renting a home or caring for a pet. Enhanced verification processes, such as identity checks and reviews, are essential to ensure trust and encourage user engagement.

9.Question

What strategies can a matchmaker model employ to maintain customer loyalty?

Answer: To prevent customers from going direct, matchmaker models can offer competitive incentives, enhance user experience, provide value-added services, and create a



reliable platform that fosters community, thus encouraging repeat business.

10.Question

What opportunities remain for future entrepreneurs within the matchmaker model space?

Answer:Many verticals remain underserved or inefficient, presenting opportunities for new matchmaker ventures.

Entrepreneurs can identify specific niches with unmet needs, leveraging technology and connectivity to establish innovative solutions.

Chapter 5 | Ask for the Cash: Pay-in-Advance Models| Q&A

1.Question

Why would someone pay to shop at a store, like Costco?

Answer:People are willing to pay to shop at Costco

because they benefit from rock-bottom prices, a huge selection of items, and an element of surprise with each visit due to ever-changing assortments.

The membership fee is offset by the savings they reap from the lower prices and exclusive deals



offered.

2.Question

How does the pay-in-advance model benefit businesses?

Answer:The pay-in-advance model allows businesses to fund their operations and growth without needing outside capital.

For instance, Costco generates significant profits from membership fees, allowing them to operate with lower gross margins than competitors, while Threadless uses customer pre-orders to fund the printing of T-shirts.

3.Question

Can you give an example of how Threadless started its business?

Answer:Threadless began when co-founders Jake Nickell and Jacob DeHart held a T-shirt design contest online. They invested \$1,000 to print the winning designs and sold them, quickly recouping their investment through initial customer sales.

4.Question

What was a key factor in Threadless's growth?

Answer:Threadless grew due to its community-first



approach, where customer involvement in design and voting helped foster a loyal customer base. The business scaled as it continually released new designs based on community input, ensuring high demand.

5.Question

What challenges did Via.com face when initiating its business model?

Answer:Via.com initially encountered challenges due to the low penetration of credit card usage in India, which complicated their initial B2C SMS ticketing model. They pivoted to serve travel agents instead, thereby leveraging customer deposits for real-time ticketing.

6.Question

What lesson can be learned from Jay Gupta's experience with The Loot?

Answer:Gupta's experience illustrates the risks of transitioning from a customer-funded model to one that requires significant cash investment upfront. Once he shifted away from consignment agreements to own merchandise



outright, it strained his cash flow, ultimately leading to severe financial issues.

7.Question

What common characteristics do successful customer-funded businesses share?

Answer:Successful customer-funded businesses often share traits such as audacity to ask for customer cash upfront, flexibility to respond to market needs, and the ability to leverage community engagement and loyalty in their business models.

8.Question

Why is customer funding important for startups?

Answer:Customer funding can dramatically reduce the financial risk involved in starting a business, providing the necessary capital to test ideas and validate business models without sacrificing equity or taking on debt initially.

9.Question

How did the changing tax laws affect The Loot's business?

Answer:New tax laws imposed on The Loot unexpectedly



increased operational costs significantly, leading to cash flow issues, inability to pay debts, and ultimately forcing the company to close many of its stores.

10.Question

What should entrepreneurs understand about the difference between profit and cash flow?

Answer:Entrepreneurs must recognize that profit isn't the same as cash flow. A profitable business can still face cash shortages if it doesn't manage inventory and customer payments correctly, as demonstrated by The Loot's struggles.

Chapter 6 | Recurring Revenue: Subscription and SaaS Models| Q&A

1.Question

What are the three major reasons why consumers prefer subscription services over traditional purchasing methods?

Answer:1. Regular demand: Consumers have a predictable need for the provided goods or services.

2. Convenience: Subscriptions eliminate the need for repetitive trips or remembering to purchase items.



3. Cost-effectiveness: Often, subscribing can be cheaper than buying items separately.

2.Question

How does the subscription model enhance customer adoption and retention according to Ganesh?

Answer:Ganesh found that the subscription model allowed for a flat fee that gave customers unlimited access, which not only increased adoption rates but also encouraged long-term commitment, as seen in TutorVista's high renewal rates.

3.Question

What factors can make a subscription service appealing to customers?

Answer:A subscription must offer something both better and cheaper for the customer. Examples include 24/7 access to services and cost savings, like TutorVista's tutoring service compared to traditional face-to-face tutoring.

4.Question

Why did Ganesh initially opt for customer funding before approaching venture capital?



Answer:Ganesh wanted to validate his business model and understand customer behavior before making significant financial commitments, ensuring that customer acquisition costs were justified by their lifetime value.

5.Question

What critical questions should entrepreneurs consider when evaluating a subscription model?

Answer:Entrepreneurs should ask:

- Is the subscription offering better and cheaper for customers?
- What is the cost to acquire each customer, and how does this compare to their lifetime value?
- Are you selling perishable, consumable, or durable goods?

6.Question

What was the ‘silver bullet’ for TutorVista's success?

Answer:The silver bullet was the switch to a subscription model that guaranteed payment upfront, securing predictable revenue, which improved cash flow and operational efficiency.



7.Question

How did the subscription model help TutorVista scale effectively?

Answer:By having customers pay in advance for unlimited tutoring, TutorVista secured its revenue stream before delivering services. This allowed for better planning of tutor availability and resource allocation.

8.Question

What lessons can be learned from the H.Bloom and TutorVista cases about subscription models?

Answer:While subscription models can provide predictable revenue and customer retention, they are not fail-proof. A clear competitive advantage must exist, and the offering must genuinely satisfy customer needs to sustain growth and profitability.

9.Question

What mistakes were made by businesses that attempted subscription models but failed?

Answer:Many businesses, like Manpacks and ShoeDazzle, primarily failed because their offerings were not compelling



enough to attract long-term subscribers, indicating that sheer novelty without market demand leads to unsustainable models.

10.Question

How does the subscription model contribute to capital efficiency for businesses like TutorVista?

Answer:A subscription model allows businesses to avoid upfront investments in service delivery, as customers pay before consuming the service. This results in less cash tied up in operations and more funds available for growth initiatives.

11.Question

What is the importance of renewal rates in subscription businesses?

Answer:Renewal rates are crucial as they indicate customer satisfaction and the long-term viability of the business model. High renewal rates often signal that the subscription service is meeting or exceeding customer expectations.



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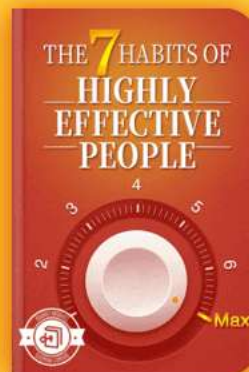
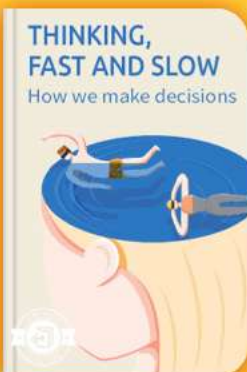


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Chapter 7 | Sell Less, Earn More: Scarcity and Flash Sales Models| Q&A

1.Question

What key insight does the chapter provide about scarcity models in business?

Answer: Scarcity models are ingenious yet challenging to implement successfully. They thrive on limiting availability, which creates urgency among customers to purchase quickly, as illustrated by Zara's approach and vente-privee's flash sales.

2.Question

How did Zara redefine the concept of scarcity in retail?

Answer: Zara limited its inventory and production of styles, ensuring that once an item was sold out, it wouldn't be restocked. This created a sense of urgency: customers had to buy immediately to avoid missing out.

3.Question

What lessons can entrepreneurs learn from the case of vente-privee?

Answer: Vente-privee demonstrates the power of leveraging



customer funding by obtaining cash in advance from sales before paying suppliers. This model allows for rapid growth with minimal upfront investment.

4.Question

What are the dangers of raising investment capital too early in a business?

Answer:Raising capital prematurely can lead to overvaluation, management turmoil, and loss of ownership stake for founders. Many companies have struggled or failed when they pursued aggressive growth without a solid business model.

5.Question

What should entrepreneurs focus on regarding their customer base?

Answer:Entrepreneurs should differentiate between mere membership numbers and the value of actual paying customers. Understanding customer acquisition costs and lifetime value is crucial for sustainable growth.

6.Question

Why might flash sales be considered a risky business



model?

Answer:Flash sales are easily copied, leading to intense competition and market saturation. Many companies in this space have failed due to a lack of unique differentiation and reliance on discount-based strategies.

7.Question

How does the concept of exclusivity play into the success of scarcity models?

Answer:Exclusivity drives demand as customers seek unique items that enhance their status. The perception of scarcity makes products more desirable, prompting customers to act quickly to secure their purchase.

8.Question

What are some strategic questions business angels might ask before investing in a flash sales model?

Answer:Business angels might inquire about the depth of vendor relationships, the uniqueness of the business model, customer acquisition strategy, metrics regarding paying customers, and reliance on economic cycles.



9.Question

What can we learn from Gilt Groupe's struggle in the flash sales market?

Answer:Despite initial rapid growth, Gilt faced challenges in maintaining customer satisfaction and profitability, illustrating that rapid expansion without solid fundamentals can lead to instability in a business.

10.Question

What strategy did vente-privee employ to maintain the integrity of the brands it represented?

Answer:Vente-privee offered exclusive sales events with limited timeframes and quantities, ensuring that luxury brands could offload excess inventory without diluting their brand value.

Chapter 8 | Build It for One, Then Sell It to All: Service-to-Product Models| Q&A

1.Question

What is the core principle behind service-to-product models as presented in the book?

Answer:Service-to-product models operate on the



principle that businesses can begin by providing customized services, then leverage their expertise to develop standardized products that customers can use independently. This transformation allows companies to scale efficiently and can lead to significant cash flow improvements.

2.Question

How can service businesses protect themselves financially while providing services?

Answer:Service businesses often require clients to pay a portion or the entire fee upfront, protecting the provider from the risk of non-payment. Additionally, milestone-based payments ensure that the client is satisfied with the work completed thus far, creating a safeguard for both parties.

3.Question

Can you give an example of a successful service-to-product transition mentioned in the chapter?

Answer:GoViral transitioned from creating viral video campaigns as a service to developing a robust platform that



clients could use independently for online video marketing campaigns. This shift allowed them to scale significantly and later sell the company for a notable sum without ever taking external investment.

4.Question

What are the challenges related to converting services into product offerings?

Answer:The key challenges include ensuring the product meets the independent needs of customers, overcoming market education barriers, and adapting the technology to automate processes that were once labor-intensive in service delivery.

5.Question

In what ways can a service-to-product transition benefit a business?

Answer:Transitioning can drastically increase scalability, decrease dependence on individual talent, improve profitability, and open new and attractive market segments while allowing for more predictable revenue streams.



6.Question

What was a defining moment for GoViral that contributed to their growth?

Answer:A defining moment for GoViral was their successful campaign for Nissan Europe which provided substantial revenue that allowed them to invest in technology and scale operations significantly.

7.Question

In the book, how does Rock Solid demonstrate the principles of a customer-funded model?

Answer:Rock Solid initially provided IT services but transitioned to a SaaS model for municipalities, allowing them to provide services at a lower upfront cost, generating ongoing revenue without significant capital investment, funded entirely by customer cash.

8.Question

What does the chapter suggest is essential for entrepreneurs considering a service-to-product transition?

Answer:Entrepreneurs need to assess customer insights that



reveal compelling product offerings, evaluate their capacity to enter new markets, ensure the right talent is in place for the transition, and be prepared to embrace rapid growth instead of just maintaining steady growth.

9.Question

How are angel investors likely to evaluate businesses looking to scale from services to products?

Answer:Angel investors will likely consider the customer insights that inform the product's development, market potential, the existence of a suitable team to manage the transition, the desire for rapid growth, and whether the service can effectively be productized.

10.Question

What is the main takeaway regarding funding and scaling a service business?

Answer:The primary takeaway is that businesses can be effectively funded through customer cash flows, especially in service-based models, and that transitioning to products can significantly enhance growth potential while minimizing the



reliance on external investment.

Chapter 9 | Make It Happen: Put a Customer-Funded Model to Work in Your Business| Q&A

1.Question

How can focusing on customer funding impact the burn rate of a startup?

Answer:Focusing on customer funding allows a startup to lower its burn rate significantly. By getting cash flowing from customers earlier in the process, rather than waiting to secure venture capital, a business can sustain itself longer and increase its chances of achieving product/market fit. This strategy provides the business with breathing room to innovate and adjust its offering based on real market feedback without the immediate pressure of external investor expectations.

2.Question

What advice does Bill Joy give to larger companies regarding innovation?



Answer: Bill Joy notes that large companies often struggle to innovate due to internal bureaucracies and risk aversion. He advocates for small, agile teams within larger companies to foster creativity and innovation. By emulating successful approaches of smaller organizations—like giving teams autonomy, minimizing oversight, and allowing for experimental projects—established firms can cultivate a more dynamic and innovative culture.

3.Question

Why is it important to understand the metric of customer lifetime value in a subscription-based business model?

Answer: Understanding the customer lifetime value (CLV) is crucial in a subscription model as it helps businesses determine how much they can afford to spend on acquiring new customers. A clear grasp of CLV allows a company to balance its customer acquisition costs with the expected revenue from those customers over time, ensuring long-term profitability and sustainability.

4.Question



What role do angels and incubators play in the customer-funded business model?

Answer: Angels and incubators can provide crucial support to entrepreneurs by guiding them to focus more on customer traction rather than solely on obtaining funding. They can encourage aspiring founders to validate their business idea through customer feedback and early sales before seeking more substantial investment, thus increasing the chances of building a viable and sustainable business.

5.Question

What is a common pitfall for subscription-based businesses related to customer churn?

Answer: A common pitfall for subscription-based businesses is underestimating customer churn rates. If a company fails to accurately track why customers are leaving, it risks focusing on the wrong metrics and making poor financial decisions. Understanding churn is essential for improving customer retention strategies, which directly impacts the overall health and profitability of the business.



6.Question

How can a business effectively determine the best payment model for its matchmaker type business?

Answer:To determine the best payment model, a business should analyze its market and engage with potential sellers to understand their preferences. Conducting experiments with different pricing approaches—like lead fees versus commissions—can reveal which model resonates best with suppliers. Continuous feedback from both sellers and buyers also aids in refining the payment structure.

7.Question

Why might a company avoid granting exclusivity to pay-in-advance customers?

Answer:Granting exclusivity to pay-in-advance customers can stifle growth by limiting the company's ability to serve other potential markets or customers. It could hinder future opportunities and make it difficult to maintain a diverse customer base, especially if the exclusive customer's needs change or if they request terms that are not beneficial for the



business's strategic objectives.

8.Question

What are the risks associated with entering flash sales models without rapid product obsolescence?

Answer: Entering flash sales models in markets without rapid product obsolescence can lead to oversaturation and competition, where too many sellers chase too few buyers. This scenario can degrade product value, dilute brand appeal, and force companies to compromise on quality to meet discount price points, ultimately threatening profitability.

9.Question

How can a transition from services to product-based models be accomplished effectively?

Answer: Transitioning from a services to product-based model can be achieved by ensuring the right technology supports the move and that there is a clear path to market that does not rely on the service delivery model. Engaging target customers early in the product development process helps refine offerings and ensures that the final product meets



market needs effectively.

10.Question

What is the ultimate takeaway regarding customer funding versus seeking venture capital early in a business's lifecycle?

Answer: The ultimate takeaway is that seeking customer funding can provide invaluable insights and cash flow that enhance a business's viability and growth potential. Founders should focus on validating their ideas through customer interactions and sales first, generating traction before pursuing venture capital, which is best suited for scaling proven concepts.





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The Customer-Funded Business Quiz and Test

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Chapter 1 | Why This Book?| Quiz and Test

1. Only about 1,500 U.S. startups receive venture capital in good years.
2. Most successful entrepreneurs rely on traditional funding routes to grow their businesses.
3. The book suggests that early customer traction is unimportant for startup success.

Chapter 2 | Craving Crowdfunding? Pandering to VCs? Groveling to Your CFO?: The Magic of Traction and the Customer-Funded Revolution| Quiz and Test

1. The Vermas of CE Info Systems acquired venture capital to fund their digital mapping business.
2. Customer-funded models are not applicable for every type of business and may require traditional financing methods.
3. Raising equity too early is considered beneficial for entrepreneurs as it assures immediate growth and support

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from investors.

Chapter 3 | Customer-Funded Models: Mirage or Mind-Set? Old or New?| Quiz and Test

- 1.Christopher Columbus sought funding for his expedition to India in 1492, highlighting early examples of entrepreneurship.
- 2.The venture capital industry is the only method for entrepreneurs to access funding and is essential for business success.
- 3.Both Dell and Banana Republic utilized customer payments to fuel their businesses and reduce reliance on external investment.



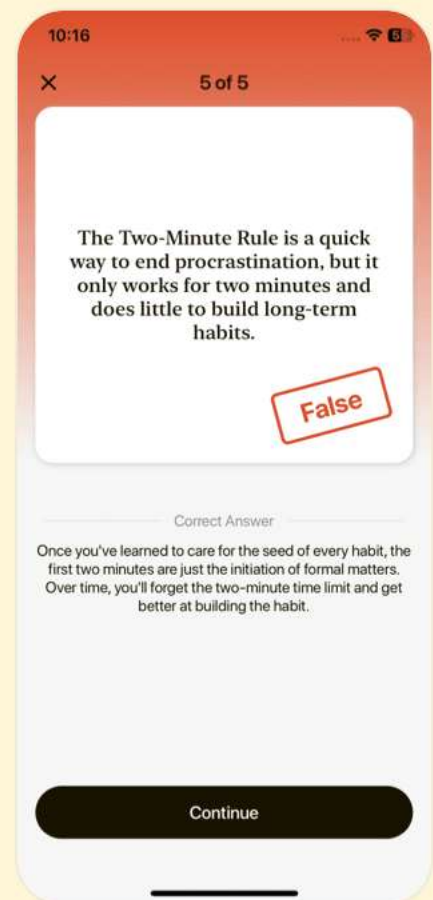
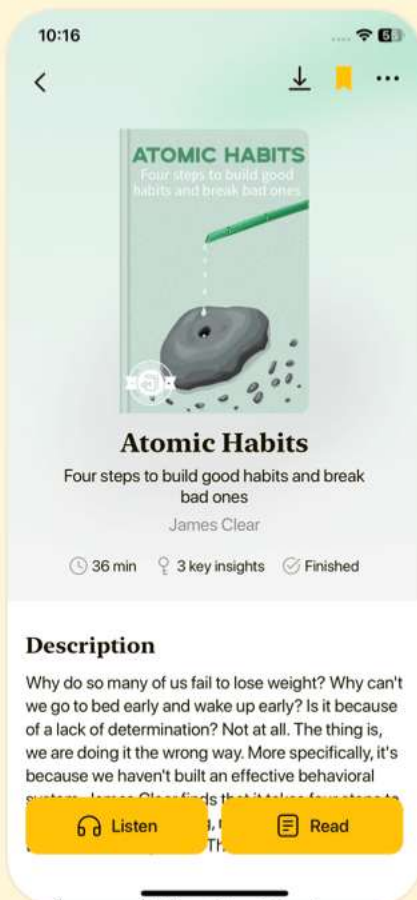


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Chapter 4 | Buyers and Sellers, but Not Your Goods: Matchmaker Models| Quiz and Test

1. Matchmaker models typically require a large upfront investment to get started.
2. Successful matchmaker businesses must focus on visibility and marketing to attract users and sellers.
3. ProFounder succeeded as a matchmaker model by addressing the funding needs of small businesses effectively without facing any challenges.

Chapter 5 | Ask for the Cash: Pay-in-Advance Models| Quiz and Test

1. Costco's membership fees significantly contribute to its operating profits, allowing the company to maintain lower gross profit margins than its competitors.
2. Loot Stores successfully transitioned from a consignment model to upfront inventory purchases without any financial issues, leading to sustained growth.
3. Entrepreneurs using pay-in-advance models need to carefully understand both profit and cash flow to ensure



sustained success.

Chapter 6 | Recurring Revenue: Subscription and SaaS Models| Quiz and Test

- 1.Many services we utilize daily are offered through subscription models, such as Netflix or utility services. In this context, subscriptions provide consumers with greater flexibility and convenience.
- 2.The SaaS model requires companies to make substantial upfront investments in physical software purchases before they can transition to a subscription-based model.
- 3.TutorVista and H.Bloom have both failed to secure customer funding for their subscription-based businesses, leading to their decline.



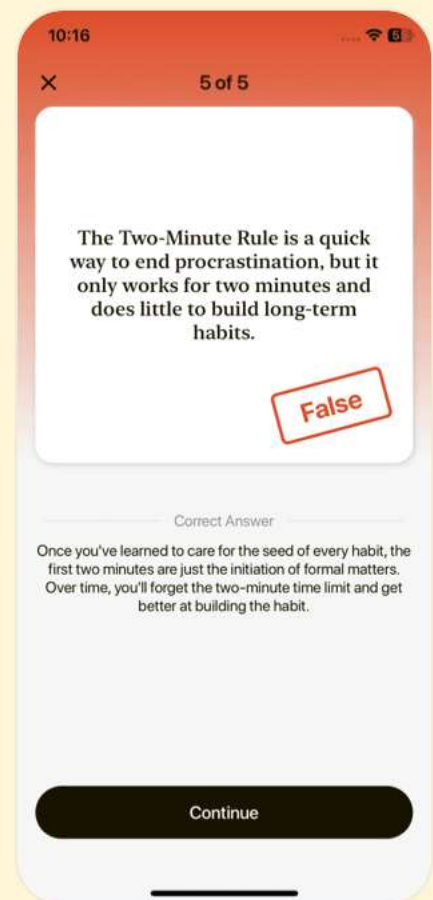
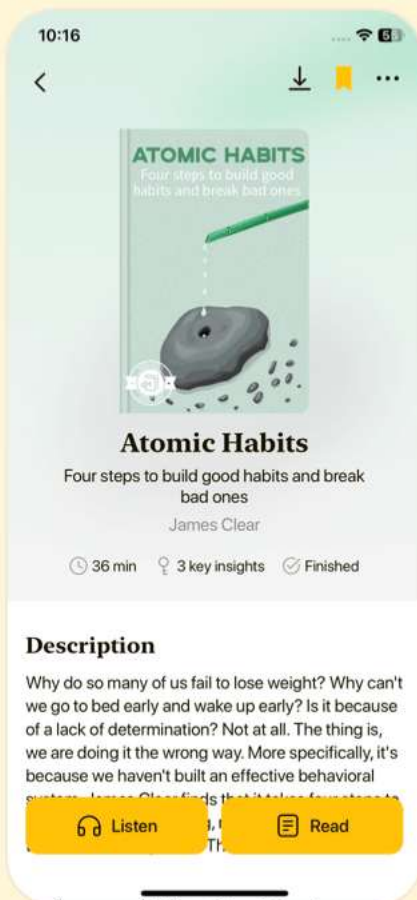


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Chapter 7 | Sell Less, Earn More: Scarcity and Flash Sales Models| Quiz and Test

- 1.Scarcity models encourage consumers to delay their purchases by promising future availability of products.
- 2.Vente-privee is an example of a flash sales model that sells excess inventory through time-limited sales events for members.
- 3.Many flash sales companies have succeeded without any significant challenges or issues related to competition.

Chapter 8 | Build It for One, Then Sell It to All: Service-to-Product Models| Quiz and Test

- 1.Service-based businesses require upfront payments to safeguard against customer dissatisfaction because services cannot be returned.
- 2.The transition from a service-based model to a product model is only beneficial if significant capital is invested initially.
- 3.QuEST Global Services achieved rapid growth by pivoting



to a product model.

Chapter 9 | Make It Happen: Put a Customer-Funded Model to Work in Your Business| Quiz and Test

1. A customer-funded model minimizes financial risks and creates opportunities for product/market fit.
2. Established companies have an easy time innovating because they have less bureaucracy to deal with.
3. Entrepreneurs need external permission to implement customer-funded models in their businesses.





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